



SLIDIs Brief

At a Glance



Proposal Overview

The **Sustainability-Linked Intermediated Debt Instrument** (SLIDI) proposal seeks to address the limitations of existing sustainability-linked bonds (SLBs), which have seen a decline in issuance since their peak in 2021. Like SLBs, SLIDIs offer reduced interest rates or rebates to borrowers that achieve specific sustainability-linked Key Performance Indicators (KPIs). However, SLIDIs differ by raising funds through bonds with fixed coupon payments, eliminating the rate-of-return uncertainty faced by SLBs.

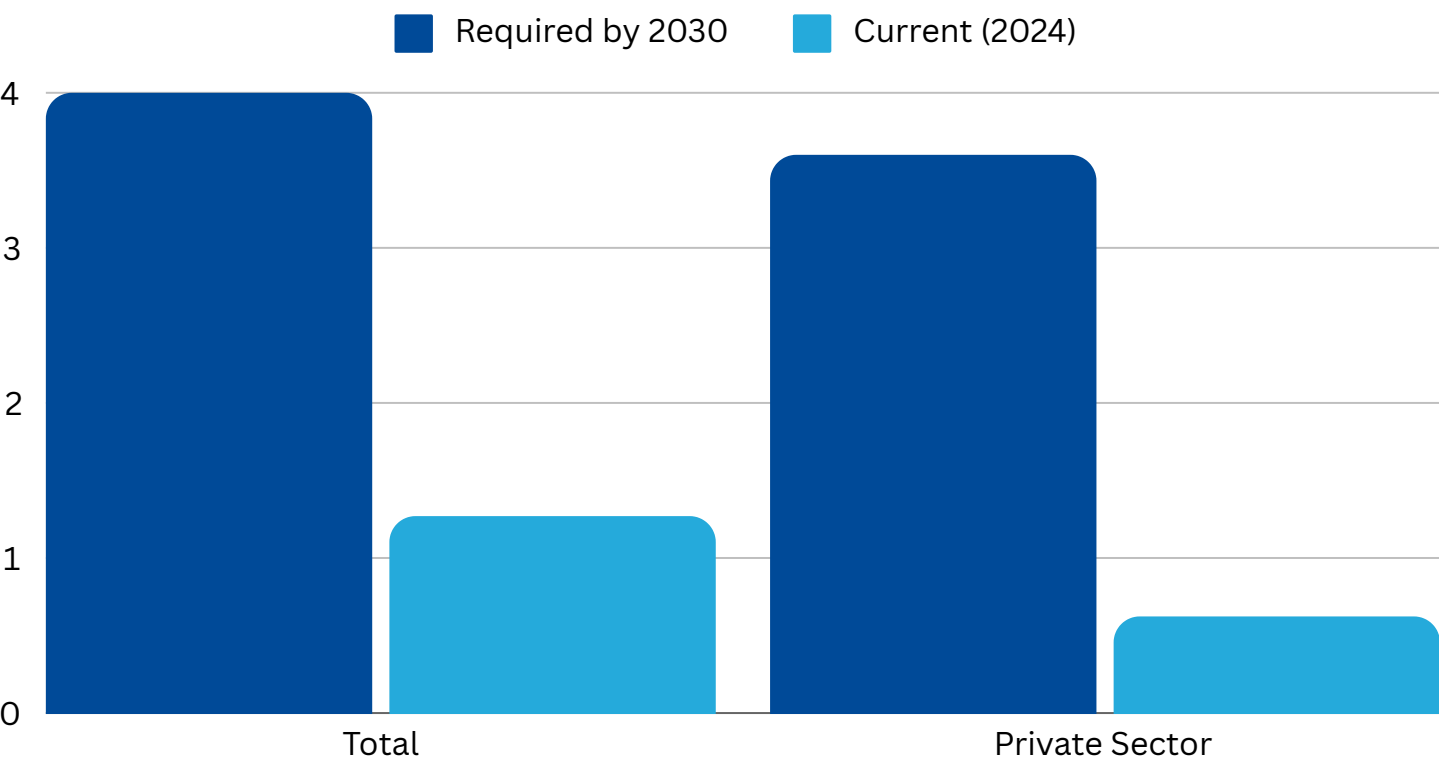
In this model, interest payment rebates are provided to borrowers upon meeting **KPI targets**, but these rebates are funded by a **third party**, such as the World Bank through results-based payments or a donor-supported trust fund. The participation of official development partners enhances the credit profile of the bonds, creating a ‘halo effect’ that reduces the interest rates demanded by private investors. Additionally, **guarantee products** and co-lending from development partners help lower country risk, further reducing borrowing costs for developing nations.

Key Issues to be Addressed

REDUCING BORROWING COSTS FOR EMDEs: The private sector will need to supply about 80% of the required climate-related investment in emerging market and developing economies (WB, 2023). Due to currency risk and other country risks, such as geopolitical conflicts, institutional investors are often unwilling to invest in developing countries, or demand punitively high interest rates to do so.

INCENTIVISING PROGRESS IN ESG AREAS: Developing countries face a dual burden: the need to service existing debt while also financing the costly transition to a low-carbon economy. Incentives are needed to encourage domestic policies that support a wide range of ESG objectives, such as decarbonizing the power sector, improving social equity, and enhancing governance standards, while progressing toward a developed economy.

Estimated Yearly Climate Investment Needs (trillion US\$)



Sources: [IMF \(2023\)](#); [IEA \(2023\)](#)



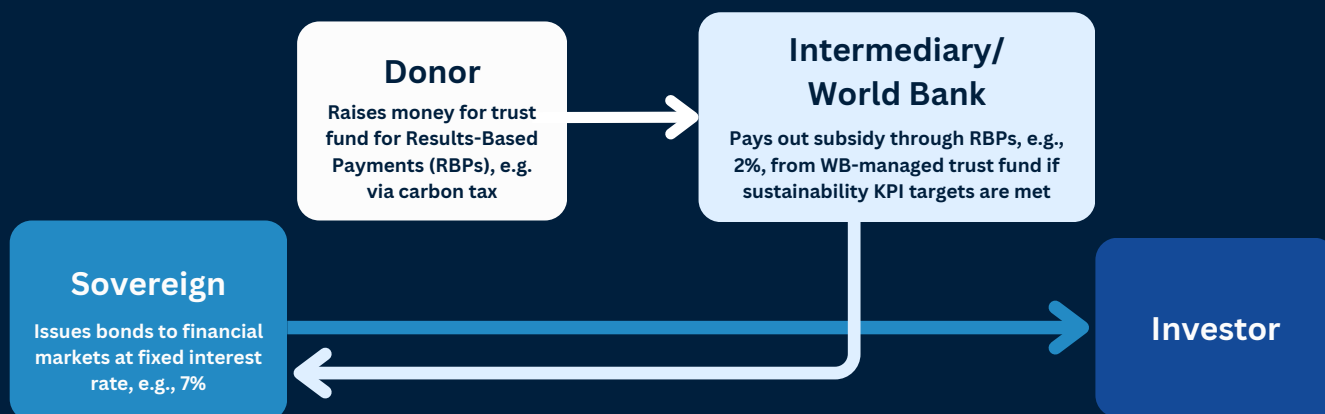
Stakeholders

Participant/ Recipient Countries	The primary participants, responsible for implementing sustainability initiatives aligned with pre-defined KPIs. Upon meeting these targets, they receive interest rebates, which help lower their cost of borrowing and incentivize further progress toward sustainability goals.
World Bank Group/ Third Party Intermediary	These entities provide the funding for the interest payment rebates when borrowers meet their sustainability-linked KPIs. Their participation is vital in mitigating return volatility, a key challenge in traditional SLBs, by guaranteeing the rebate mechanism.
Investors	Provide the capital for SLIDIs through bond purchases. Their participation is encouraged by the ‘halo effect’—the enhanced credit profile resulting from the involvement of development partners. This reduces their risk perception and, consequently, the interest rates they demand.
Official Development Partners	By offering co-lending, guarantee products, or results-based payments, these partners help lower the perceived risk of the bonds and improve the creditworthiness of the borrowing nations. Their backing catalyzes greater private sector participation and ensures concessional borrowing costs.

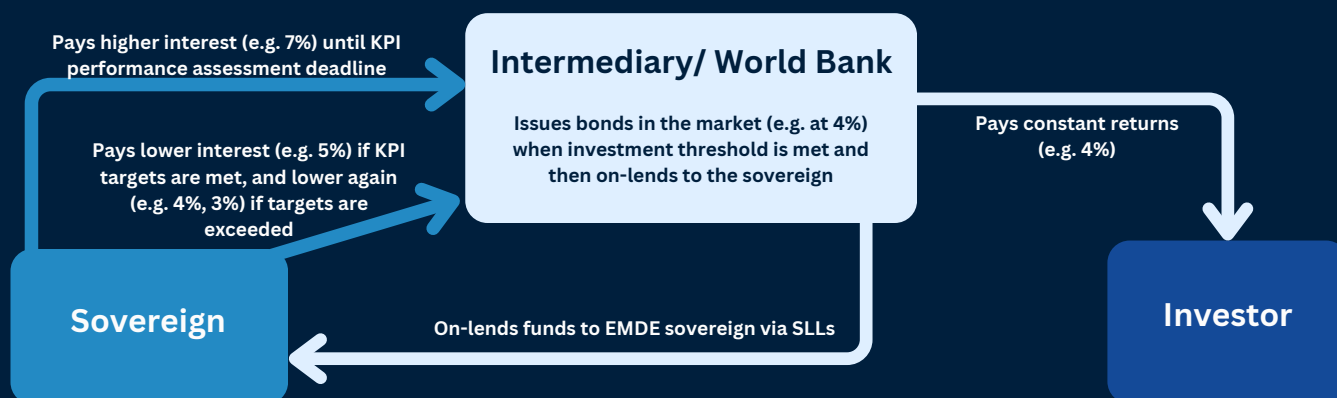
Implementation



Model 1: Subsidy-Providing Intermediary



Model 2: Credit Intermediary (Specialized Development Bank)



Additional Resources

Brief (This Document)

- Succinct overview of proposal.

[Technical Summary](#)

- Describes the basis for the proposal.
- Outlines the financial summary.

Powerpoint

- Provides a short engaging overview of the issue and proposal for presentations.

Links to Supplementary Material

[World Bank Report \(2023\)](#)

[IEA Report \(2021\)](#)

[Uruguay's SLBs \(2022\)](#)

Feedback/ Questions

This briefing paper is part of the Apollo II Project series by the Geoproprosperity Team.

For further information or questions about this proposal or Geoproprosperity's work, please feel free to reach out.

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